THE FADING TRIPWIRE

BY MIAN LIU

Jason Roderick Donaldson

MOTIVATION

Covenant use declined and enforcement changed over time, esp. post 2010

QUESTION

Why?

THIS PAPER

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Part II: Estimate model via SMM

Match simulated moments to causal estimates from reduced-form lit

Part III: Quantitative results to explain covenant decline

Decline in moral hazard, improved information,...

COMMENTS

COMMENTS ON “OMITTED VARIABLES”

COMMENT 1: 2010 AND LENDER SIDE

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Question: Could lender regulatory changes cause decline in covenants

Matters: Alternative theory consistent with time series

Suggestion: Explore 2010 and lender-side forces

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Question: How does secured debt substitute for covenants?

Matters: Salient decline in secured debt confounds effect of covenants

Suggestion: Include secured debt in model/estimation

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<u>Suggestion</u>: Consider broader covenant measures

COMMENTS ON ECONOMICS

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Suggestion: Model interaction within debt structure

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<u>Question</u>: What drives what?

<u>Matters</u>: Lower frictions $\Rightarrow$ fewer covenants could seem preordained

<u>Suggestion</u>: Develop decomposition to match forces to patterns

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Suggestion: Dig into root causes

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Matters: Validation of conclusion

Suggestion: Explore other predictions of conclusions

COMMENTS ON MODEL AND DATA

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Question: Is that main role of covenants for these firms?

Matters: Conclusions depend on why firms use covenants

Suggestion: Discuss and motivate why public firms use covenants

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Suggestion: Discuss selection and correct for it if appropriate

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Question: How does model to on untargeted moments/out of sample?

Matters: Need to argue model right empirically

Suggestion: Other moments and split sample

COMMENT ON LITERATURE

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<u>Question</u>: Why different modeling choices?

<u>Matters</u>: Determines contribution and correctness

<u>Suggestion</u>: Discuss that paper and contrast findings

CONCLUSION

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Comments:

1. 2010 and lender side
2. Secured debt
3. Non-financial covenants
4. Debt structure
5. Decomposition
6. Source of change
7. Other implications
8. Financial constraints?
9. Rationing/Selection
10. Validation
11. Lunova 2025